ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 07 - INTRAWEEK MARKET REVERSALS & OVERLAPPING MODELS

This lesson focuses on intra-week reversals and overlapping models within the short-term trading module. It is crucial to always remember that we are working with time and price. ICT has previously shared specific weekly profiles, including intra-week and intraday Market reversal profiles. While intraday will be covered in day trading, for short-term trading, intra-week market reversal profiles are significant.

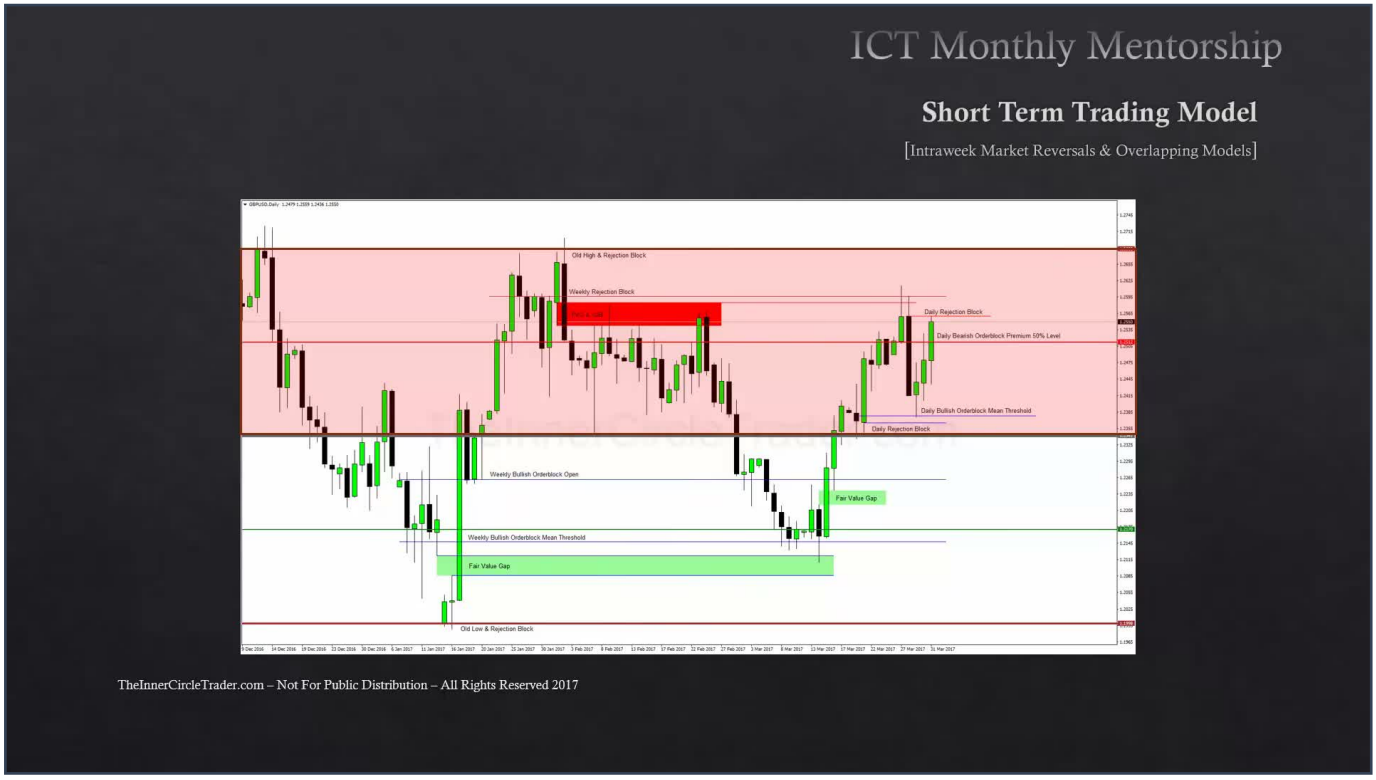
Many traders, especially the uninitiated, are frequently caught off guard by potential reversals. In early career, this issue was a consistent challenge: a profitable trade would suddenly reverse midweek, often leading to being stopped out or pressured into exiting. This experience is common and will eventually happen to any trader, emphasizing the importance of this topic.

Teaching the market reversal profile is one of the hardest aspects of market profiling because it demands a multiple-approach understanding across various trading disciplines, such as swing trading, short-term trading, day trading, and position trading. Efficient comprehension requires being well-versed in more than one trading discipline. The goal is to lay foundations and provide guidelines and approaches that lead to understanding a potential intra-week Market reversal profile, covering all its components in this teaching.

This lesson uses the British Pound (Cable) as an example, focusing on a specific low that formed during the week of the recording, which exemplified an intra-week reversal. The criteria taught will allow traders to identify similar manifestations in historical data.

The initial context required identifying that the market was in a Premium Market, as defined by the large trading range outlined in Lesson Five. The market was trading into a weekly rejection block or an old bearish order block on the daily charts, suggesting a potential move lower. While anticipating a trade down to a lower level PD array in the discount, this movement occurred not over the entire week, but rapidly, within 24 hours.

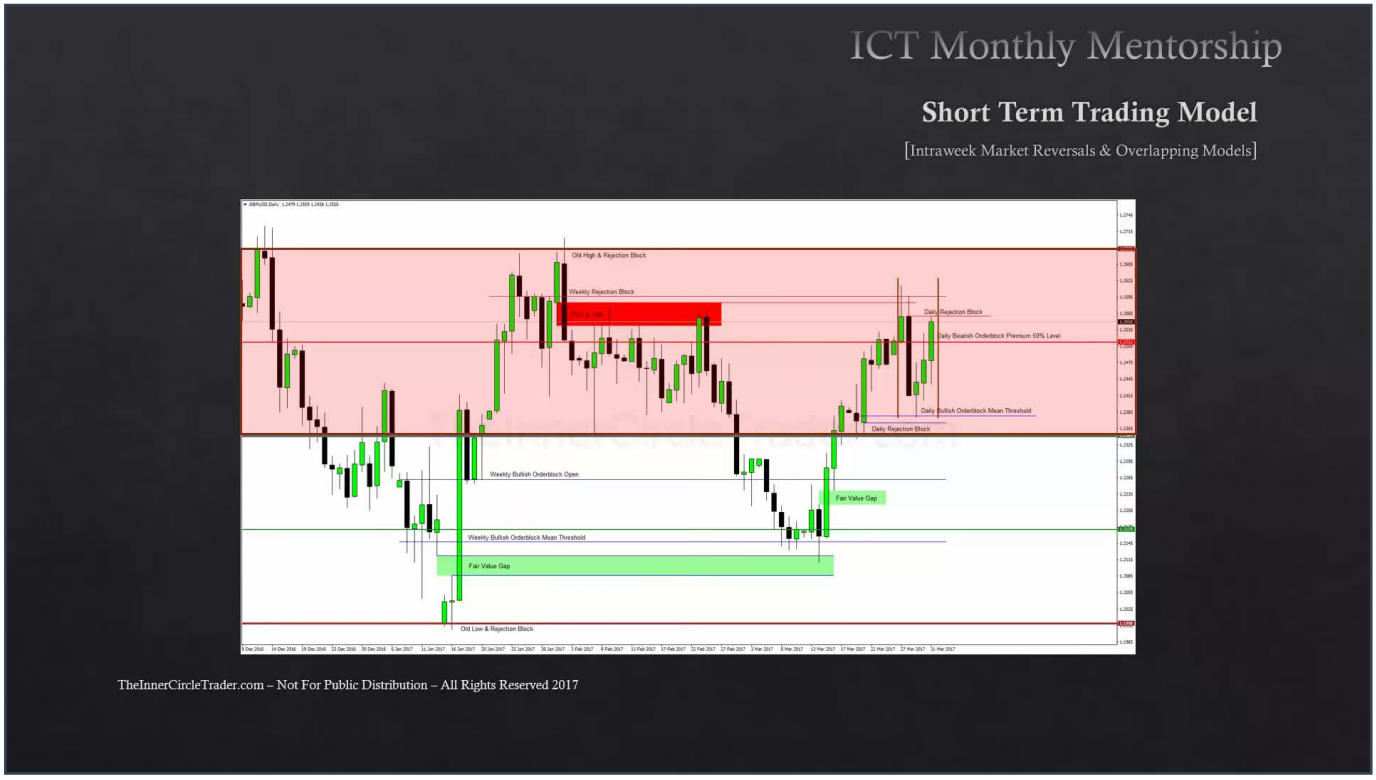
Specifically, the Cable (GBP/USD) traded over 200 points in 24 hours. This speed indicates the market is reaching for a highly critical institutional order flow level for interbank efficiency. This could be due to global commerce or a Central Bank repricing. Price reached directly into a daily bullish order block mean threshold on Wednesday.



When a fast market is observed, it implies institutional order flow is reaching for a critical interbank efficiency level, which could relate to global commerce or Central Bank repricing. While the 24-hour range formed between Tuesday and Wednesday's low involved a gradual drift, the anticipation at the week's start of a certain outcome requires adherence to the plan.

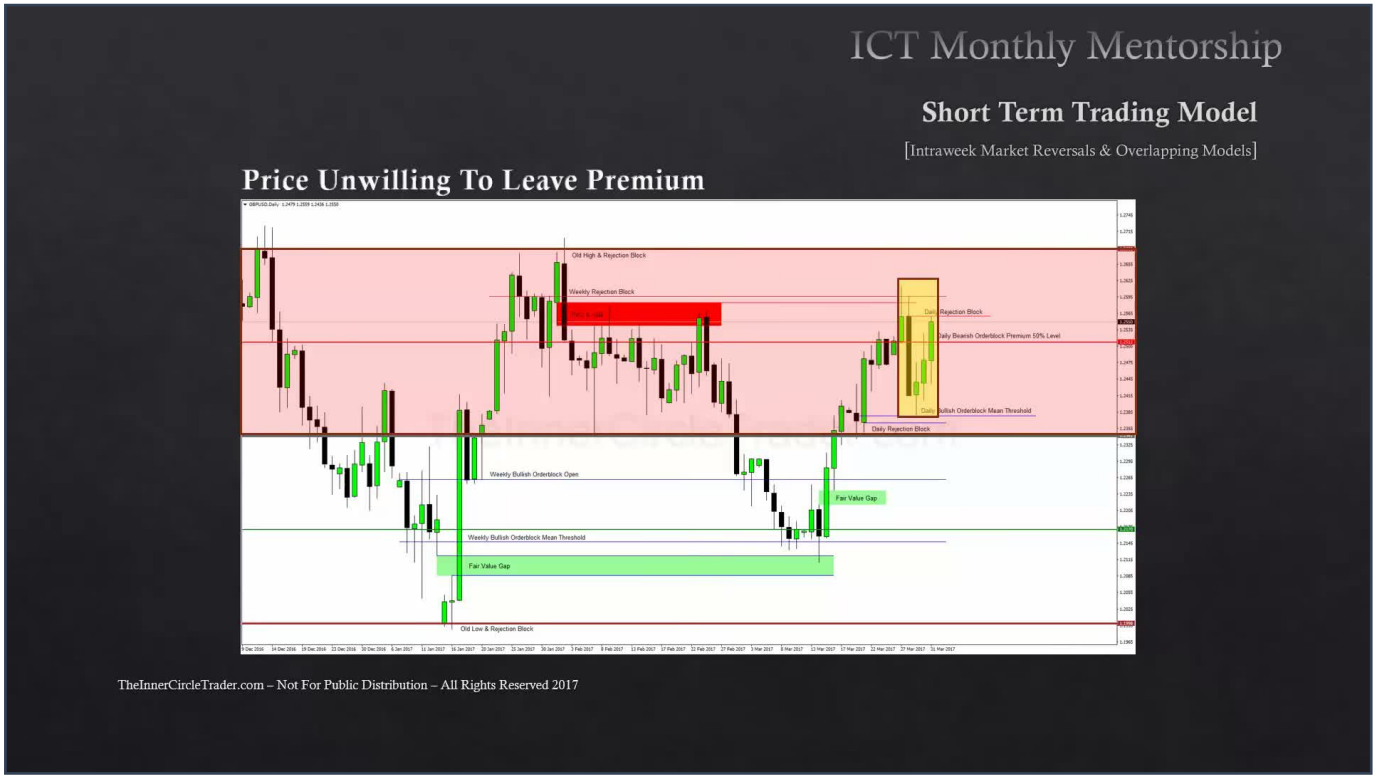
Over a trading career, reversals are inevitable. This lesson provides a checklist for identifying scenarios that may lead to such reversals. Telltale signs, like those previously mentioned in the Chart Index for the Cable, indicated a likely bounce area. These signs stem from understanding multiple trading dimensions.

ICT emphasizes a universal approach to understanding price across all timeframes and trading disciplines (position trading, short-term trading, swing trading, day trading, scalping). This comprehensive understanding, developed through experience, is crucial. Traders are encouraged to embrace all disciplines within the mentorship to gain an inherent advantage over those who adopt a limited, myopic view, thereby becoming a better trader in their chosen specialization.



The focus is on the specific price range and the decline into the daily bullish order block mean threshold, and the catalysts for the subsequent reversal.

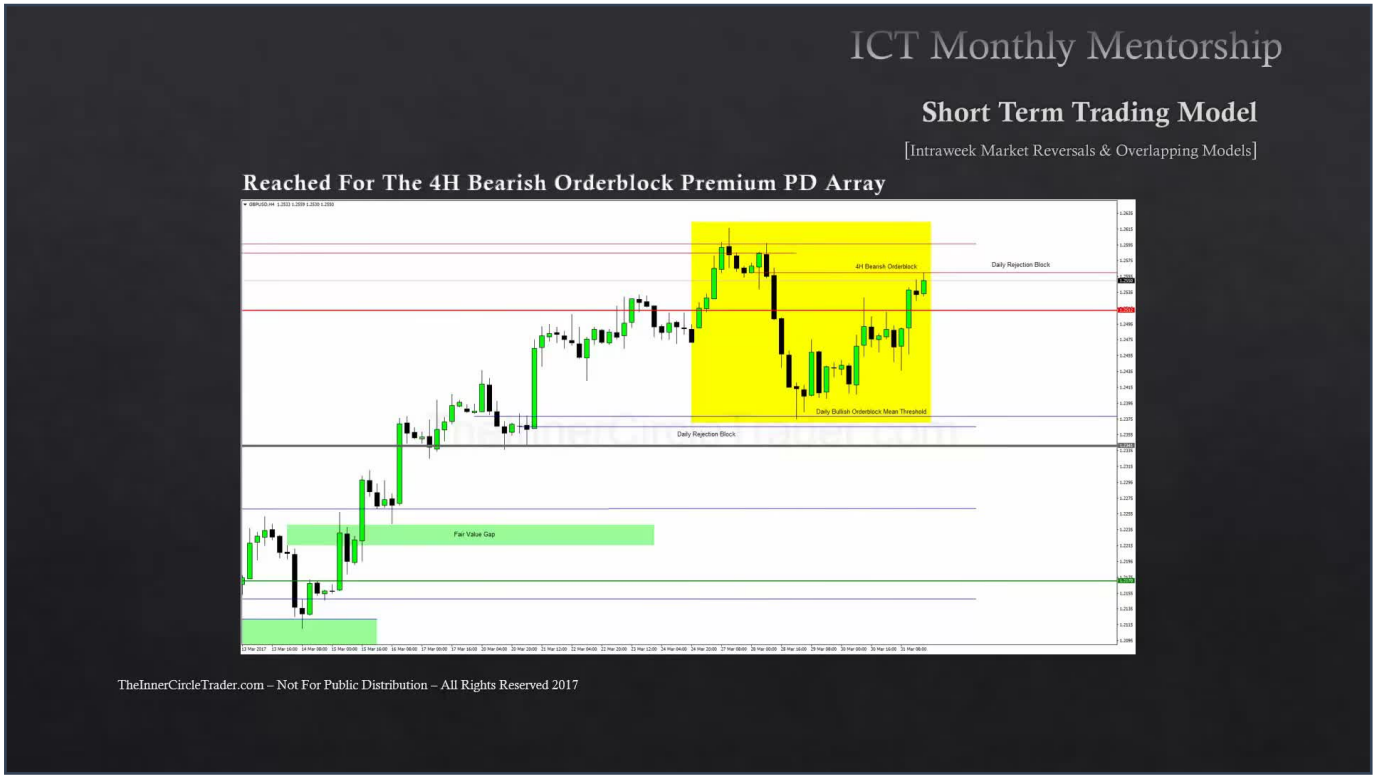
Key observation: price demonstrates an unwillingness to exit the premium market. Despite initial aggressive and speedy declines at the beginning of the week, suggesting a continued downward trend (potentially to a fair value gap or old lows), this view often leads to account failures and dashed hopes for uninformed traders. The internal mechanics of price delivery are being revealed here. We examine the first two days of the week leading into Wednesday's low.



Examining the first two days of the week leading into Wednesday's low, the price range is extraordinary, characterized by a Tuesday down candle significantly larger than the average. This large, dominating candle highlights the speed at which price moved in one trading day to reach a specific institutional order flow reference point.

To refine this analysis, we transition to a four-hour chart. The yellow area represents that same range across the entire week, from Monday's rallies to Tuesday's decline and Wednesday's low. Price returned to a discount PD array, reversing intra-week.

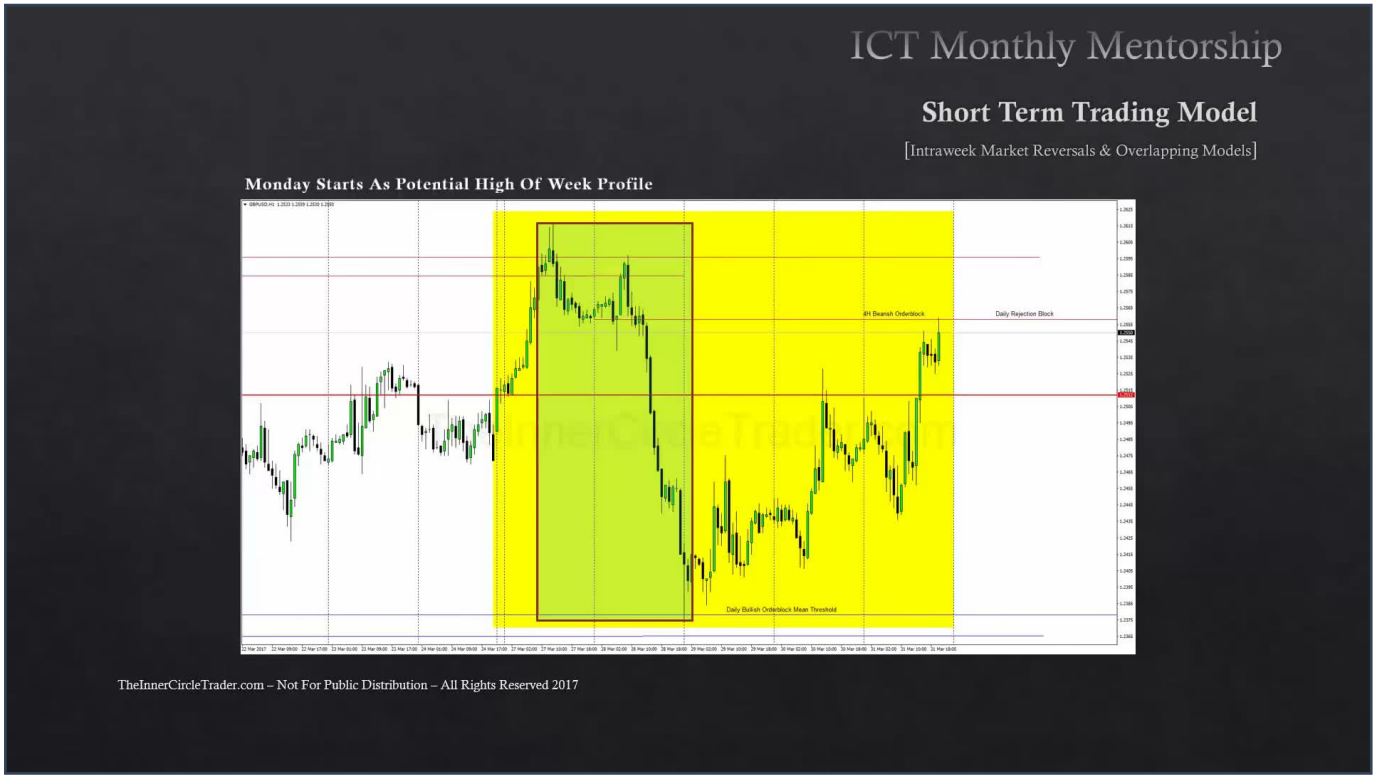
While this reversal is clear in hindsight, understanding the underlying details is crucial for future anticipation. The bounce was anticipated because the low formed on Wednesday's market low, trading directly into a daily bullish order block mean threshold.



Following the bounce at the daily bullish order block mean threshold, IPDA efficiently draws price into a four-hour bearish order block, a premium PD array. Price delivery is remarkably precise, with minimal movement below the identified daily bullish order block mean threshold, trading directly to the four-hour bearish order block.

Further refinement on an hourly chart illuminates the market reversal profile. The significant decline from the week's start is a classic telltale sign of a potential market reversal. Aggressive and speedy price movement on Monday or Tuesday indicates either a rapid formation of the weekly range or a swift move to an Institutional Order Flow Reference Point that could trigger a reversal.

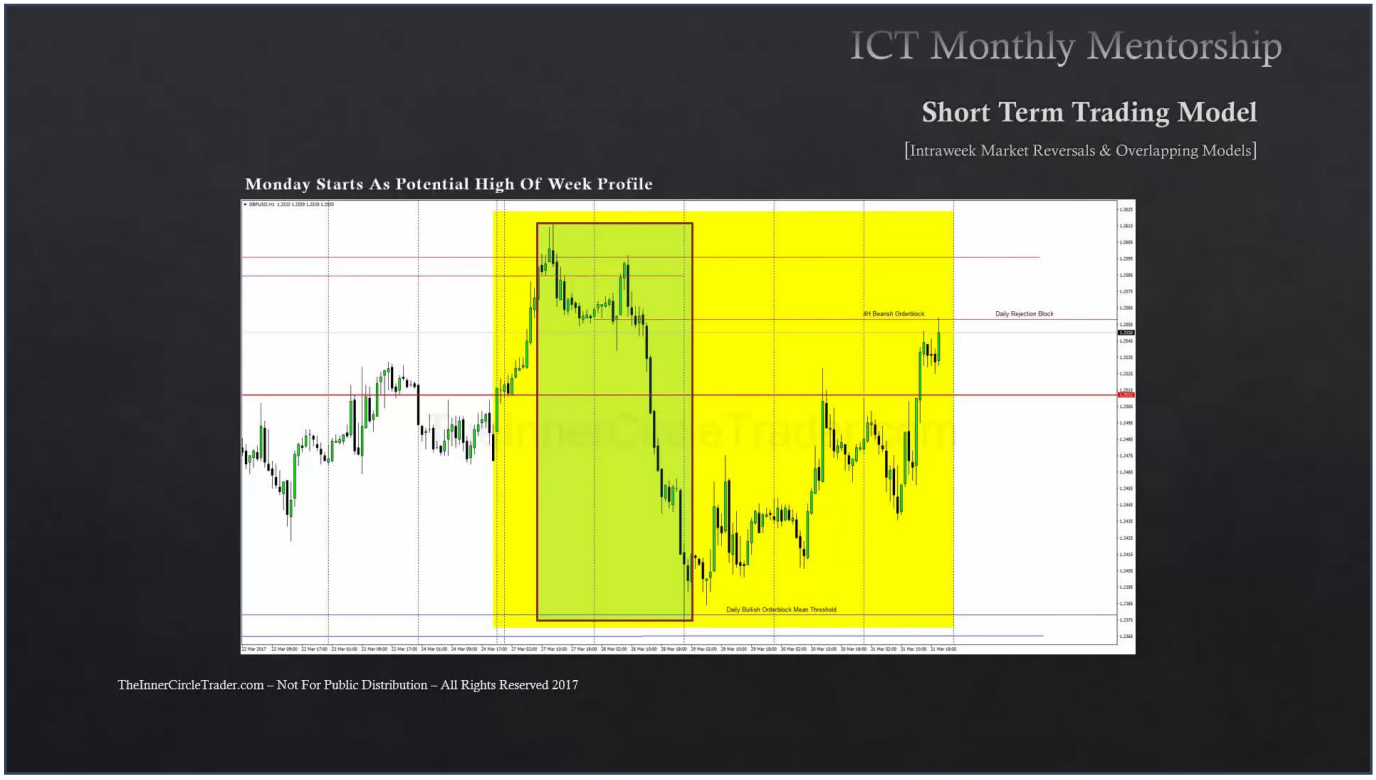
The hourly chart shows Monday initiating a potential high of the week profile, rallying from Sunday's open, then declining. A further rally into Tuesday's London session is followed by an aggressive trade lower, reaching the low of the week during the Tuesday-Wednesday overlap, from which an aggressive move higher ensues.



The speed and magnitude of a price decline, particularly in the initial days of the week, are classic telltale signs of a potential market reversal profile. When price moves quickly and covers significant ground early in the week, traders should immediately look for higher time frame PD arrays that could act as a catalyst for an intra-week market reversal profile.

It is crucial to avoid the misconception that rapid price movement automatically implies a continuous trend or an equal leg extension, leading to more profits. Instead, speed in price action consistently indicates that the market is rapidly moving to a specific valuation point.

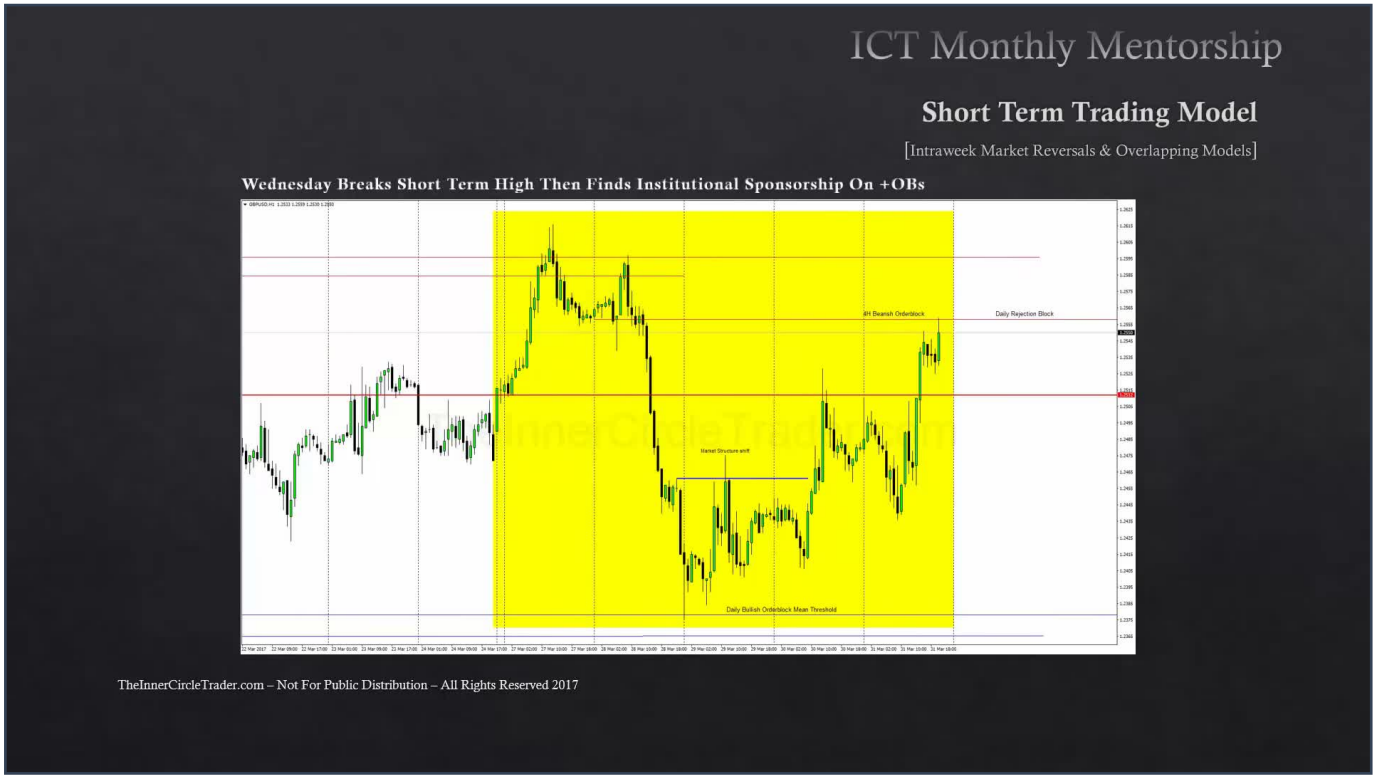
This phenomenon is comparable to central bank repricing during interest rate announcements. The swift, dramatic shifts in price are not merely due to buying and selling pressure but represent a sudden repricing at the central bank level. Such repricing creates wide disparities in price, moving it quickly from one level to another.



When there is no Central Bank involvement, aggressive and speedy price movements are based on evaluation through speculation. In such cases, IPDA drives the market from a daily premium down to a discount range.

Despite being within a larger premium range, the market's descent into a discount PD array can be misinterpreted as a continuous downtrend. However, this action signifies the market's willingness to return to a discount level, analogous to grading modular, smaller ranges within a broader premium context as discussed in Lesson Five. This behavior keeps price within the upper portion of the larger premium range on the daily chart.

While the market may be in a long-term premium, it can still continuously move higher and keep making higher highs short-term. Similar to how bearish divergence in a momentum indicator doesn't immediately reverse price, the market might not exit the premium market even when moving aggressively lower. The key is to recognize that if price is unwilling to move lower and intends to go higher, the focus shifts to premium PD arrays.



Wednesday marks a break of a short-term high, revealing institutional sponsorship. Each bullish order block, characterized by a down candle or series of down candles, is extended in time, showing new long positions being capitalized. This is positively confirmed by price quickly surging away from these levels, often into a fair value gap premium PD array.

Intra-week reversals frequently aim to return to or exceed a previous balanced price range. This concept relates to Market Maker Sell and Buy Profiles. In the discussed example, a Market Maker Buy Profile could form:

- Consolidation (price balance range) is observed as price moves in a small range.

- Price aggressively sells off on Tuesday, leaving the range.

- A Smart Money Reversal occurs into the Tuesday-Wednesday overlap.

- A low-risk buy setup presents on Thursday.

- Continuation for re-accumulation is seen on Friday.

Price trades back up into the original price balance range, which could signify the end of the move, having fulfilled the necessary objective of re-entering that range.

However, it's essential to consider the possibility that price may exceed the balanced range. The Market Maker Buy Profile typically aims to take out liquidity above previous highs. Even if a lower high formed on Tuesday relative to Monday, the market still has the potential to move beyond the balanced range.

Looking at a naked British Pound one-hour chart, it's acknowledged that some traders might identify a low and evidence supporting an upward move, while others might not.

It is vital to be mindful that a planned trade setup may not always materialize. For instance, anticipating a high of the week at the beginning of the week and expecting Friday's close to be lower than Wednesday's low might prove incorrect. Even experienced traders will get it wrong sometimes.

However, there are clear signs: if the market moves quickly and with significant magnitude at the beginning of the week (Monday or Tuesday), covering a distance well beyond its average daily range (e.g., the last five days' average), it's highly probable that a market reversal profile is developing intra-week. This doesn't guarantee a reversal but warrants serious consideration. For example, the entire weekly range for Cable can be formed in a single trading day, such as Tuesday, which is characteristic of an intra-week market reversal profile.

While anticipating a higher low at the week's beginning is fundamental to ICT Concepts, opinions and directives can change due to Central Bank policy shifts or unforeseen fundamentals. Price action will reveal these changes, eliminating the need to know the underlying fundamental causes.

In price action study, understanding higher time frame PD arrays is crucial for managing failing trades. If a profitable trade begins to falter or lacks a strong entry point, it's often advisable to exit and seek a new entry, as it may be indicating a market reversal profile.

Wednesday or Thursday reversals are common occurrences every month across various currency pairs. These intra-week market reversals, whether moving higher then selling off or vice-versa, are generic concepts with simple telltale signs:

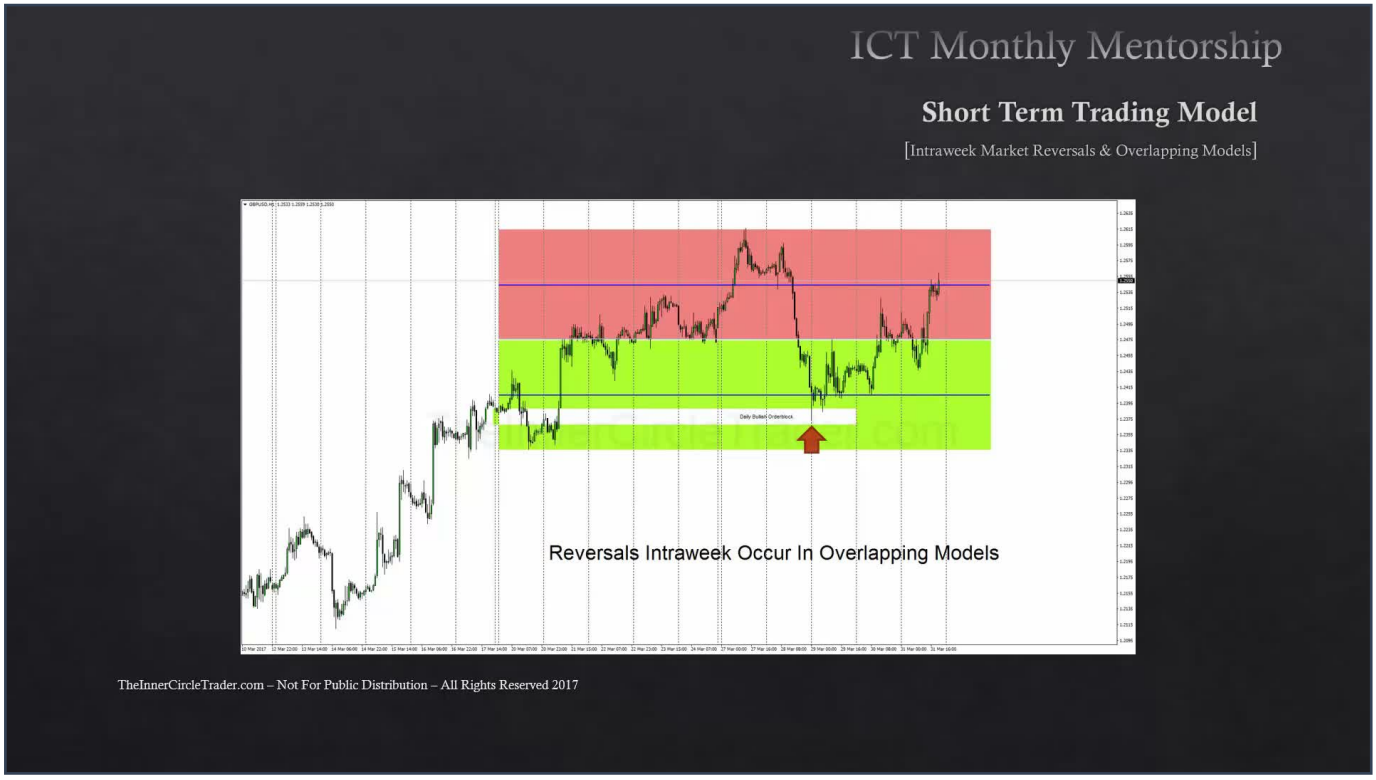
- The magnitude and speed of price movement on Monday and Tuesday. If price covers significantly more distance quickly than its average daily range, anticipate a reversal.

When such conditions arise, consult higher time frame PD arrays. Price is likely moving to a specific valuation point, attracting strong institutional sponsorship that will reverse the market. Fighting against these turning flows can be detrimental to an account.

This section explores the possibilities of swing trading model overlaps, building upon short-term trading concepts like 'one shot, one kill.' Blending or overlapping trading models enhances overall understanding.

Analyzing the same price action area, a Premium and Discount PD Array Matrix is applied. The green area represents the discount, graded into four quadrants, with the premium area similarly divided. On the daily chart, price trades down into a daily bullish order block, which is a classic swing trade entry. Traders exclusively focused on short-term trading, day trading, or scalping may fail to recognize such swing trade entries, making them vulnerable to unexpected reversals.

Applying these daily chart elements to a one-hour chart reveals intraday price action on a day-by-day basis. The secret to intra-week reversals is that they occur in overlapping models, where two trading disciplines are at odds with one another.



The fundamental principle in overlapping models is that the higher time frame discipline will always prevail. This underscores the importance of focusing on monthly, weekly, and daily PD arrays as the most critical references. Anything below a four-hour chart is considered day trading, and if these lower timeframe observations do not align with higher time frame (daily, weekly, or monthly, or at least a four-hour) PD arrays, the trading setup is not high-probability.

Understanding these characteristics ensures that intra-week reversals no longer come as a surprise. By having a comprehensive perspective that integrates short-term trading, swing trading, and position trading, traders gain a deeper understanding of price action. When a swing trader's approach indicates a buy, but a one-shot, one-kill short-term view suggests a sell-off, the weekly range phenomenon being traded will likely face opposition leading to a reversal.

Key takeaways from this lesson:

- The speed and magnitude of price movement on Monday and Tuesday are the primary characteristic telltale signs of a probable intra-week market reversal.

- Always look for overlapping, opposing trading models. If a higher time frame suggests a buy while a lower time frame indicates a continuation lower, the higher time frame will always win this 'arm wrestling match.'

This lesson aims to enhance understanding of price action, intra-week reversals, and the effective blending and overlapping of trading models.